VALD STRATEGY - OBJECTIVE TRADING RULES v1.0

Volatility-Adjusted Liquidity Displacement Strategy

📋 EXECUTIVE SUMMARY

Market: Gold (XAUUSD)
Timeframe: 5-minute chart (execution), 15-minute (context)
Sessions: London (08:00-12:00 GMT) or New York (13:30-17:00 GMT)
Risk Per Trade: 0.5% maximum
Expected Win Rate: 45-55%
Target R:R: Minimum 1:2, Target 1:3

Strategy Type: Mean reversion after liquidity sweep during volatility expansion

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🎯 SECTION 1: PRE-TRADE ENVIRONMENT FILTER

These conditions determine if you should be looking for trades AT ALL today.

1.1 VOLATILITY REQUIREMENT (ATR Filter)

Objective Rule:

```
ATR(14, 5min) > ATR(14, 5min) from 10 bars ago
AND
ATR(14, 5min) > SMA(ATR(14), 20 bars)
AND
ATR(14, 5min) > $4.50 (absolute minimum for XAUUSD on 5min)
```

How to Check:

- Add ATR(14) indicator to 5-minute chart
- Add SMA(20) to the ATR indicator itself
- Current ATR line must be ABOVE the SMA line
- Current ATR value must be higher than 10 candles ago
- If any condition fails → NO TRADES until all three are met

Visual Check:

```
ATR Line:  ____/‾‾‾ (rising trend = expanding)
SMA Line:  ___/‾‾‾  (ATR above SMA = above average)
```

1.2 SESSION REQUIREMENT

Objective Rule:

```
Current time is between:
- 08:00 - 12:00 GMT (London session) OR
- 13:30 - 17:00 GMT (New York session)

AND NOT within 15 minutes of high-impact news
```

High-Impact News to Avoid:

- NFP (Non-Farm Payrolls)
- FOMC Rate Decisions & Press Conferences
- CPI (Inflation Data)
- GDP releases
- Central Bank Speeches (Powell, Lagarde)

How to Check:

- Set timezone to GMT in your platform
- Check Forex Factory calendar before trading day
- Mark out 15-minute buffers around red-flag news events

1.3 VOLUME CONFIRMATION

Objective Rule:

```
Current 5-minute volume > 1.3× SMA(Volume, 20 bars)
```

How to Check:

- Add Volume indicator below price chart

- Add SMA(20) to the volume bars
- Current volume bar must exceed the average line by 30%

Why This Matters: Low volume = fewer participants = easier to get trapped in fake moves

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🔍 SECTION 2: LIQUIDITY POOL IDENTIFICATION

This defines what qualifies as a valid liquidity zone

2.1 EQUAL LOWS (For Long Setups)

Objective Rule:

```
Identify 3 or more swing lows where:
- All lows are within 8 pips of each other
- Formed over minimum 2 hours (24 bars on 5min)
- Each swing low has at least 3 higher candles before next low forms
- Zone formed at prior session low, London low, or Asian range low (preferred)
```

Visual Pattern:

```
Price:
      ^
     /|\
    / | \
   /  | \___
  |  |     \
____|___|___|_____ ← Equal Lows (within 8 pips)
  Low1 Low2 Low3
```

Measurement:

- Draw horizontal line at lowest wick
- Count how many swing lows touch or come within 8 pips
- Must have minimum 3 touches
- Use 15-minute chart to confirm it's a structural level

2.2 EQUAL HIGHS (For Short Setups)

Objective Rule:

```
Identify 3 or more swing highs where:
- All highs are within 8 pips of each other
- Formed over minimum 2 hours (24 bars on 5min)
- Each swing high has at least 3 lower candles before next high forms
- Zone formed at prior session high, London high, or Asian range high (preferred)
```

Same measurement process as equal lows, inverted

💥 SECTION 3: LIQUIDITY SWEEP CRITERIA

This defines the trigger event - the stop hunt

3.1 SWEEP DEFINITION (Long Setup Example)

Objective Rule - ALL must be true:

```
A. Price breaks below equal lows zone by minimum 5 pips
B. Breakout candle has:
   - Wick extending 5+ pips below zone
   - Close back inside the zone OR within 3 pips of zone
   - Range of candle > 1.5× average candle range (last 20 bars)
C. Volume on breakout candle > 1.5× average volume (20-bar SMA)
D. Happens in single candle or maximum 2 consecutive candles
E. Time since zone formation: minimum 1 hour, maximum 8 hours
```

Visual Pattern:

```
          Sweep Candle
              |
              | ← Close back inside
_________________↓________ Equal Lows Zone
              |
              ↓ ← Wick extends 5+ pips below
```

Why These Rules:

- **5 pip breach:** Ensures stops are actually triggered
- **Close back inside:** Shows rejection/trap

- **Large range candle:** Confirms aggressive move
- **High volume:** Confirms participation
- **1-2 candle limit:** Real sweeps are fast and violent
- **Time constraints:** Too soon = level not established; too late = level no longer relevant

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3.2 FAILED SWEEP (Invalid)

Do NOT trade if:

```
- Price breaks zone and closes 5+ pips beyond it
- Multiple candles grind through the level (more than 2)
- Volume is below average
- Subsequent candle continues in breakout direction
```

This is a genuine breakout, not a sweep. Let it go.

✅ SECTION 4: CONFIRMATION SIGNALS

After sweep occurs, wait for these confirmations before entry

4.1 BULLISH DISPLACEMENT (For Long After Sweep)

Objective Rule:

```
Within 5 bars after sweep:

A. Single 5-minute candle closes 12+ pips above sweep candle high
   AND
B. Candle is bullish (close > open) with minimum 8 pip range
   AND
C. Candle closes in top 30% of its range
   AND
D. No upper wick longer than 40% of total range
   AND
E. Volume > 1.3× average
```

Visual Pattern:

```
↑ Displacement Candle
╔═╗ (Strong bullish close)
╚═╝
  │
  ╔═╗_____ Sweep Candle
  ╚═╝
    |
____|___ Equal Lows
```

Translation: This is an impulsive move showing buyers are in control, not just a small bounce.

4.2 MARKET STRUCTURE BREAK

Objective Rule:

```
Displacement candle must:
- Break above the most recent swing high (formed in last 20 bars)

Where swing high = high with at least 2 lower highs on each side
```

How to Identify:

- Mark recent swing high before the sweep
- Displacement must close above this level
- This confirms trend shift from bearish to bullish

4.3 VWAP RELATIONSHIP (Optional but Preferred)

Objective Rule:

```
PREFERRED: Displacement candle closes above VWAP

ACCEPTABLE: Price within 5 pips of VWAP and VWAP is flat or rising

AVOID: Price 15+ pips below VWAP and VWAP is declining
```

VWAP Settings: Standard (Volume Weighted Average Price, session-based)

Why: VWAP represents institutional average price. Trading above it means buyers have edge.

🎯 SECTION 5: ENTRY RULES

Exact entry trigger after all confirmations met

5.1 ENTRY METHOD - LIMIT ORDER

Objective Rule:

```
Place limit order at:

Entry Price = Low of displacement candle + 2 pips

Wait maximum 10 bars (50 minutes) for fill
If not filled → setup expires, no trade
```

Why This Works:

- You're buying the retest/pullback
- You get better price than chasing
- If it doesn't pull back, move wasn't strong enough

5.2 ENTRY METHOD - MARKET ORDER (Aggressive)

Objective Rule:

```
Enter immediately on next candle open after displacement IF:

- Displacement candle closed in top 20% of range
- Next candle opens within 3 pips of displacement close
- ATR > $6.00 (very high volatility)
```

Use this only when momentum is extreme and pullback unlikely

🛑 SECTION 6: STOP LOSS PLACEMENT

Objective Rule:

```
Stop Loss = Low of sweep candle - (ATR × 0.3) - 2 pip buffer

Minimum stop distance: 8 pips
Maximum stop distance: ATR × 1.5
```

Example Calculation:

```
Sweep candle low: 2,850.20
ATR(14) = $5.50
Buffer = $5.50 × 0.3 = $1.65

Stop Loss = 2,850.20 - 1.65 - 0.20 = 2,848.35
```

Why This Works:

- Places stop below the liquidity zone
- Accounts for volatility
- Gives room for normal price movement
- If hit, the setup genuinely failed

💰 SECTION 7: TAKE PROFIT TARGETS

Objective Rule - Use 3-Tier Exit:

```
TP1 (33% position): Entry + (Stop Distance × 1.5)
TP2 (33% position): Entry + (Stop Distance × 2.5)
TP3 (34% position): Entry + (Stop Distance × 3.5) OR recent swing high - 3 pips

Move stop to breakeven after TP1 hit
```

Example:

```
Entry: 2,852.00
Stop: 2,848.00 (4 points away)

TP1: 2,852.00 + 6.00 = 2,858.00 (1.5R)
TP2: 2,852.00 + 10.00 = 2,862.00 (2.5R)
TP3: 2,852.00 + 14.00 = 2,866.00 (3.5R) or swing high
```

Alternative - Price Action Exit:

```
Exit 50% at opposing liquidity level (equal highs)
Trail remaining 50% with 15-minute swing lows
```

❌ SECTION 8: INVALID CONDITIONS (DO NOT TRADE)

Immediately discard setup if:

```
1. ATR declining for 5+ consecutive bars
2. Sweep occurs during first 30 minutes of session (08:00-08:30 GMT)
3. Displacement candle closes with wick > 50% of range
4. More than 10 bars pass between sweep and displacement
5. Previous 3 setups were all losses (stop trading for the day)
6. Price is 20+ pips away from VWAP and moving away
7. Sweep wick is less than 5 pips beyond liquidity zone
8. Economic news due within next 30 minutes
9. It's Friday after 15:00 GMT (weekend risk)
10. You're emotional, tired, or distracted
```

📊 SECTION 9: POSITION SIZING

Objective Rule:

```
Risk per trade = 0.5% of account balance

Position Size = (Account Balance × 0.005) / Stop Loss Distance in dollars

Round down to nearest 0.01 lot
```

Example:

```
Account: $10,000
Risk: 0.5% = $50
Stop Distance: 4 points = $4.00 per 0.01 lot on XAUUSD

Position Size = $50 / $4.00 = 12.5
Round down = 12.00 × 0.01 = 0.12 lots
```

Maximum Risk:

- Never exceed 1% per trade
- Never risk more than 3% total exposure (if holding multiple trades)
- Never increase size after losses (no martingale)

📈 SECTION 10: TRADE MANAGEMENT

10.1 AFTER ENTRY

```
✓ Set all TP levels immediately
✓ Set stop loss immediately
✓ Do NOT watch the trade tick-by-tick
✓ Check back in 30 minutes
```

10.2 IF TRADE MOVES TO TP1

```
✓ Close 33% position
✓ Move stop to breakeven + 2 pips
✓ Let TP2 and TP3 run
```

10.3 IF STOPPED AT BREAKEVEN

```
✓ This is a WIN (protected capital)
✓ Log as "BE" in journal
✓ Review if entry was too early
```

10.4 IF STOPPED FOR LOSS

✓ Do NOT re-enter same setup
✓ Wait minimum 1 hour before next trade
✓ Review checklist - what was missed?
✓ If 3 losses in one day → STOP TRADING

🔄 SECTION 11: SHORT SETUP RULES (INVERTED)

All rules are identical but inverted:

Liquidity Pool: Equal highs (3+ touches within 8 pips)

Sweep:

- Price breaks 5+ pips above equal highs
- Large wick above zone
- Closes back inside or within 3 pips

Displacement:

- Bearish candle closes 12+ pips below sweep low
- Breaks below recent swing low
- Closes in bottom 30% of range

Entry: Limit at high of displacement candle - 2 pips

Stop: Above sweep candle high + (ATR × 0.3) + 2 pips

Targets: Same R-multiple approach

📝 SECTION 12: DAILY CHECKLIST

Before Every Trading Session:

☐ Check economic calendar for high-impact news
☐ Identify session times (London/NY)
☐ Mark previous session high/low
☐ Mark Asian range high/low
☐ Check ATR - is it > $4.50 and expanding?
☐ Draw equal highs/lows if visible

☐ Set alerts for liquidity zones ± 10 pips
☐ Confirm risk calculator is set (0.5%)
☐ Clear mind - no emotional trading
☐ Review yesterday's trades if any

🎓 SECTION 13: BACKTESTING PROTOCOL

How to Test This Strategy Properly

Minimum Sample Size: 100 trades (expect 2-3 months of data)

Process:

1. Use TradingView replay feature
2. Mark every setup that meets ALL criteria
3. Record: Date, Time, Entry, Stop, TP1/2/3, Outcome, R-multiple
4. Do NOT cherry-pick or skip trades
5. Calculate: Win rate, Average R, Expectancy

Success Criteria:

```
Win Rate: 45-55%
Average Winner: 2.0R - 2.5R
Average Loser: -1.0R
Expectancy: > 0.5R per trade

If expectancy < 0.5R → Strategy needs refinement
```

Tools:

- TradingView Premium (replay mode)
- Excel/Google Sheets for tracking
- Minimum 3-month testing period

⚠️ SECTION 14: COMMON FAILURE MODES

How Traders Ruin This Strategy:

1. Subjective Interpretation

- ❌ "That looks like equal lows" (only 2 touches, 15 pips apart)
- ✅ Count touches, measure pips objectively

2. Forcing Trades

- ❌ Trading when ATR is flat because "I need action"
- ✅ Wait for proper setup even if it means 0 trades today

3. Moving Stops

- ❌ "Let me give it 5 more pips..."
- ✅ Set stop and DO NOT TOUCH IT

4. FOMO Entries

- ❌ Chasing after displacement without waiting for pullback
- ✅ Wait for limit order fill or skip

5. Ignoring News

- ❌ "I'll just watch the trade during NFP"
- ✅ Flat before high-impact news, no exceptions

6. Revenge Trading

- ❌ Taking next setup immediately after stop loss
- ✅ Mandatory 1-hour break after any loss

🎯 FINAL REALITY CHECK

What This Strategy IS:

✓ A systematic approach to capturing liquidity-driven reversals
✓ Designed for 45-55% win rate with 2:1+ R:R
✓ Requires patience and discipline
✓ Based on real market mechanics
✓ Testable and measurable

What This Strategy IS NOT:

✗ A holy grail (no such thing exists)
✗ High frequency (expect 2-5 setups per week)
✗ Guaranteed profits
✗ Immune to losing streaks
✗ Suitable for impatient traders

📊 EXPECTED PERFORMANCE (After Proper Testing)

Conservative Estimates:

- Win Rate: 48%
- Average Winner: 2.2R
- Average Loser: -1.0R
- Expectancy: 0.48R per trade

Over 100 Trades:

- 48 winners × 2.2R = +105.6R
- 52 losers × -1.0R = -52R
- Net: +53.6R profit

With 0.5% risk per trade on $10,000:

- Risk per trade: $50
- Expected profit: 53.6 × $50 = $2,680 (26.8% return)
- Over ~6 months of trading

This assumes perfect execution. Real results will vary.

✅ YOU NOW HAVE:

1. ✓ Objective entry criteria (no guessing)
2. ✓ Measurable filters (ATR, volume, time)
3. ✓ Precise stop placement (volatility-adjusted)
4. ✓ Clear exit strategy (3-tier targets)

5. ✓ Risk management protocol (0.5% per trade)
6. ✓ Invalid condition checklist (avoid bad trades)
7. ✓ Backtesting framework (prove edge before risking)

Next Steps:

1. Print this document
2. Backtest 100 setups on historical data
3. Calculate actual expectancy
4. If positive → Forward test on demo for 1 month
5. If still profitable → Start with 0.25% risk on live
6. Scale up only after 50+ profitable live trades

Remember: A strategy is only as good as your discipline in following it. Every rule exists because breaking it loses money.

Now go test it properly. No excuses.